

Just eight months after the Hugoton merger, Pickens had found his second target, the Southland Royalty Company. Southland owned a majority interest in the mineral rights on the Waddell Ranch in West Texas, a major oil field. Gulf Oil had bought a 50-year lease to produce oil on the Waddell Ranch in 1925. Southland collected the royalties and didn't do much exploration. It invested the royalties instead by diversifying into some odd ventures, including a candy business, which earned its president, Bob Cain, the nickname "Candy" Cain. In the late 1960s the Gulf lease was approaching expiration. The Waddell Ranch wells were still producing and, with more than 100 million barrels of recoverable oil in the field, would likely continue to do so well beyond the end of the lease. At expiration, the mineral rights would revert to Southland, transforming it into one of the largest independent oil companies in the industry.

Gulf's strategy had been to fight Southland in the courts. While Southland had the stronger legal position, it was a much smaller enterprise, and Gulf was applying intense pressure to bring it to the negotiating table. Gulf had picked up 12 percent of Southland's stock on the same day it filed its lawsuit to send the message that if Southland didn't negotiate, Gulf would take it over. Pickens saw that Southland was an "undervalued situation," and a "good deal even if it lost to Gulf,"¹² and so approached Gulf to discuss Southland. Since buying its 12 percent block of Southland, Gulf had realized that holding Southland stock might prejudice its lawsuit, and so was now eager to sell. It was so eager, in fact, that it offered the stock to Pickens on credit, which he promptly snapped up. With its foot now firmly in the door, Mesa filed with the SEC on the day after Christmas in 1969. The bid—an exchange offer like the Hugoton bid—ran into immediate problems. Pickens had ignored the large block of stock controlled by Southland insiders—the board owned more than 30 percent of Southland's common stock—and they were ready for a legal fight. They engaged famed takeover defense lawyer Joe Flom, who targeted the disclosures in Mesa's exchange offer in court. Flom beat Mesa on the disclosure issues in a Delaware court, which delayed the offering with the SEC. Pickens realized that Mesa's bid was unlikely to succeed and so terminated it just four months after launch. He sold the stock on the market, making a small profit and learning several valuable lessons—first, there were practical difficulties with exchange offers, and second, even failed bids could generate a return.

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In May 1982 Mesa held \$1 billion worth of Cities' stock. Pickens planned to use it as collateral against a loan for an additional \$1.3 billion, which he would use to finance a bid for 51 percent of Cities' common stock at \$45 per